



THE NATIONAL STOCK Exchange (NSE) is the country's largest stock exchange in terms of market share, and, on average, sees trading of shares worth more than ₹1 lakh crore in the cash segment daily. There are more than 90 million registered investors on the bourse with the total number of client codes recently crossing 169 million. The number of client codes is higher as one investor can register with more than one brokerage firm.

More importantly, a jump in the number of registered investors, from 80 to 90 million, took just five months—much quicker than the previous 10 million increase that took eight months—even as the cumulative investor base has grown more than 3x in the last five years.

A similar trend can be seen on the BSE as well. Asia's oldest stock exchange, that traces its origins back to 1875, has more than 160 million registered investors with the number jumping by nearly 31% in the last one year, per data available on the BSE website.

This may seem to paint a rosy picture of investors increasingly looking at the well-regulated, transparent, and liquid arena of stock markets for investing their hard-earned money and that they may slowly but steadily be moving away from physical assets, like real estate and gold.

There is, however, a side to it

NOT EXACTLY BROAD-BASED



MUMBAI ACCOUNTED FOR 68% OF THE CASH SEGMENT TURNOVER ON NSE AND 40% ON BSE IN FY23



AHMEDABAD'S SHARE HAS ALSO BEEN PROGRESSIVELY RISING OVER THE YEARS



SHARE OF TOWNS OUTSIDE THE TOP 10 FELL IN FY23



ONLY FOUR STATES HAVE OVER 10 MILLION REGISTERED INVESTORS ON BSE



STATES LIKE MAHARASHTRA, UP, GUJARAT, AND RAJASTHAN STILL LEAD IN TERMS OF NEW INVESTOR ADDITION

that requires urgent attention of all capital market stakeholders including the regulator, stock exchanges, and brokerage firms.

Even as the number of equity market investors skyrockets, is the growth broad-based? Is there uniformity in the surge or is the growth concentrated in only a few cities and towns? Data suggests that while the surge is real, not all parts of the country are contributing to the growth. Specifically, some cities—typically metros—have a more vibrant investment culture and contribute more in terms of investments or the number of investors.

According to the FY23 annual report published by the Securities and Exchange Board of India (Sebi), the combined share of Mumbai and Ahmedabad in the total turnover of NSE rose to 79.2% in the fiscal, higher than the previous fiscal's count of 76.7%. Similarly, the BSE saw the share of the two cities rise to 62.9% in FY23, from 57.7% in FY22—with Mumbai contributing 39.7% and Ahmedabad accounting for 23.2%.

Mumbai corners a majority share as most of the institutional investors—foreign portfolio investors, insurance majors, financial institutions, banks, etc—are based in the financial capital and account for all the high-volume trades. However, even metropolitan cities like Delhi (4.6%), Chennai (5.1%), and Kolkata (0.9%) along with information technology hubs like Bengaluru (0.7%) and Hyderabad (2.4%) have a minuscule share in the cash segment turnover of the Indian stock market.

Incidentally, the share of towns and cities outside the Top 10 list saw a significant fall on the BSE with the combined share dropping to 30.3% in FY23 from 36% in FY22. Meanwhile, NSE was able to register a marginal uptick—6.9% in